The bank profited from these changes with its profitability increasing substantially during the period 1853–61.

The increase in trade, the growth in demand for credit occasioned by the construction of the railway, and an enlarged scope for business granted by two Acts passed in 1854 and 1855, all ensured that the business of the bank flourished as never before. The Act of 1854 allowed the bank to lend against the security of shares of guaranteed railway companies, and the Act of 1855 authorized the three Presidency Banks to take custody of government securities and shares and conduct agency business in connection with the custody of and the realization of interest dividend on these securities.

The Collapse of the Bank of Bombay

The Bank of Bombay went into liquidation in January 1868, and according to the estimate of the liquidator, the capital totally lost was ₹1.87 crores. Added to this was the ₹41 lakhs which was written off in 1866 to meet the first estimated losses. According to A.K. Bagchi, the bank was ruined between August 1863 and May 1865. The period from June 1865 to June 1866 and a few months after was a cover-up operation; and the period from the second half of 1866 to the first half of 1867 was a desperate attempt to salvage a sinking ship. The period thereafter was that of a winding up and postmortem.[14]

Why did the bank fail? The Bombay Bank Commission which was set up by the Government of India under the Chairmanship of Sir Charles Jackson (henceforth the Commission), to enquire into the reasons for the failure of the bank, mainly ascribed the failure to the provisions of Act X of 1863 which removed many of the earlier restrictions and permitted the bank to transact business of an unsafe character. The new Act, unlike the old one, allowed the discount of any negotiable security and consequently the discount of a promissory note signed by one person was permitted. The old Act prohibited any advance on bank shares but the new Act allowed advances to be made on the security of shares, nor did it require that all the calls on each share be paid-up or prohibit advances on the premia of shares. The old Act also prohibited advances of more than ₹3 lakhs to any one firm or for a period longer than three months. The new Act had no such